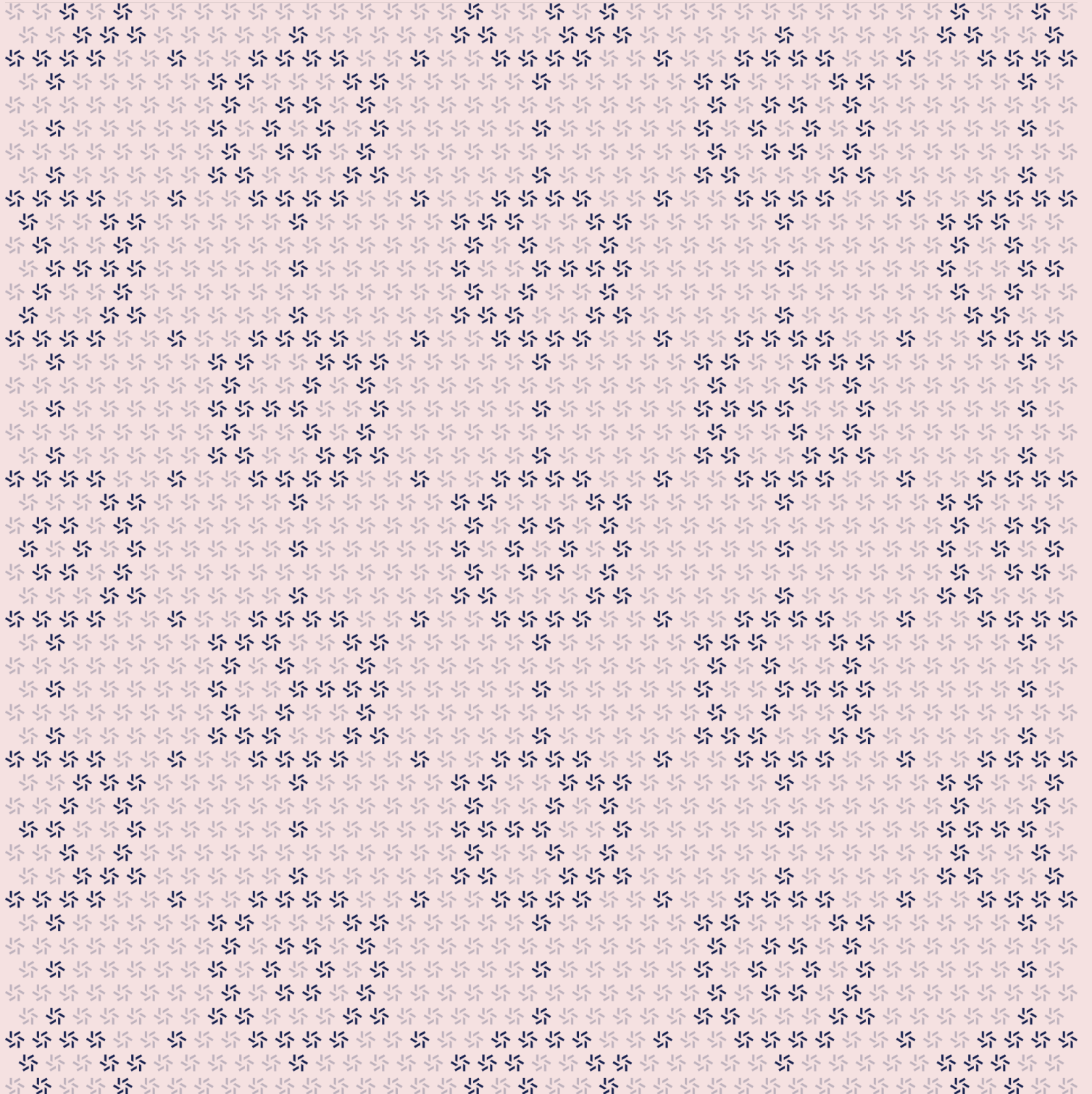


March 27, 2026

Everdawn Stellar App

Stellar Application Security Assessment



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About Zellic

Zellic is a vulnerability research firm with deep expertise in blockchain security. We specialize in EVM, Move (Aptos and Sui), and Solana as well as Cairo, NEAR, and Cosmos. We review L1s and L2s, cross-chain protocols, wallets and applied cryptography, zero-knowledge circuits, web applications, and more.

Prior to Zellic, we founded the [#1 CTF \(competitive hacking\) team](#) worldwide in 2020, 2021, and 2023. Our engineers bring a rich set of skills and backgrounds, including cryptography, web security, mobile security, low-level exploitation, and finance. Our background in traditional information security and competitive hacking has enabled us to consistently discover hidden vulnerabilities and develop novel security research, earning us the reputation as the go-to security firm for teams whose rate of innovation outpaces the existing security landscape.

For more on Zellic's ongoing security research initiatives, check out our website zellic.io and follow [@zellic_io](#) on Twitter. If you are interested in partnering with Zellic, contact us at hello@zellic.io.



1. Overview

1.1. Executive Summary

Zellic conducted a security assessment for LayerZero Labs on March 25th, 2025. During this engagement, Zellic reviewed Everdawn Stellar App's code for security vulnerabilities, design issues, and general weaknesses in security posture.

1.2. Goals of the Assessment

In a security assessment, goals are framed in terms of questions that we wish to answer. These questions are agreed upon through close communication between Zellic and the client. In this assessment, we sought to answer the following questions:

- Ensure that the upgradeability logic added to the sac-manager and OFT in Everdawn does not introduce any deviations from the default sac-manager and the default OFT.
-

1.3. Non-goals and Limitations

We did not assess the following areas that were outside the scope of this engagement:

- Front-end components
- Infrastructure relating to the project
- Key custody

Due to the time-boxed nature of security assessments in general, there are limitations in the coverage an assessment can provide.

1.4. Results

During our assessment on the scoped Everdawn Stellar App files, there were no security vulnerabilities discovered.

Additionally, Zellic recorded its notes and observations from the assessment for the benefit of LayerZero Labs in the Discussion section ([3.7](#)).

Breakdown of Finding Impacts

Impact Level	Count
 Critical	0
 High	0
 Medium	0
 Low	0
 Informational	0

2. Introduction

2.1. About Everdawn Stellar App

LayerZero Labs contributed the following description of Everdawn Stellar App:

The standard sac manager contracts and OFT contracts modified for the Everdawn-Labs/usdt0-oft-contracts repository.

2.2. Methodology

During a security assessment, Zellic works through standard phases of security auditing, including both automated testing and manual review. These processes can vary significantly per engagement, but the majority of the time is spent on a thorough manual review of the entire scope.

Alongside a variety of tools and analyzers used on an as-needed basis, Zellic focuses primarily on the following classes of security and reliability issues:

Basic coding mistakes. Many critical vulnerabilities in the past have been caused by simple, surface-level mistakes that could have easily been caught ahead of time by code review. Depending on the engagement, we may also employ sophisticated analyzers such as model checkers, theorem provers, fuzzers, and so on as necessary. We also perform a cursory review of the code to familiarize ourselves with the files.

Business logic errors. Business logic is the heart of any smart contract application. We examine the specifications and designs for inconsistencies, flaws, and weaknesses that create opportunities for abuse. For example, these include problems like unrealistic tokenomics or dangerous arbitrage opportunities. To the best of our abilities, time permitting, we also review the contract logic to ensure that the code implements the expected functionality as specified in the platform's design documents.

Integration risks. Several well-known exploits have not been the result of any bug within the contract itself; rather, they are an unintended consequence of the contract's interaction with the broader DeFi ecosystem. Time permitting, we review external interactions and summarize the associated risks: for example, flash loan attacks, oracle price manipulation, MEV/sandwich attacks, and so on.

Code maturity. We look for potential improvements in the codebase in general. We look for violations of industry best practices and guidelines and code quality standards. We also provide suggestions for possible optimizations, such as gas optimization, upgradability weaknesses, centralization risks, and so on.

For each finding, Zellic assigns it an impact rating based on its severity and likelihood. There is no hard-and-fast formula for calculating a finding's impact. Instead, we assign it on a case-by-case basis based on our judgment and experience. Both the severity and likelihood of an issue affect its impact. For instance, a highly severe issue's impact may be attenuated by a low likelihood.

We assign the following impact ratings (ordered by importance): Critical, High, Medium, Low, and Informational.

Zellic organizes its reports such that the most important findings come first in the document, rather than being strictly ordered on impact alone. Thus, we may sometimes emphasize an "Informational" finding higher than a "Low" finding. The key distinction is that although certain findings may have the same impact rating, their *importance* may differ. This varies based on various soft factors, like our clients' threat models, their business needs, and so on. We aim to provide useful and actionable advice to our partners considering their long-term goals, rather than a simple list of security issues at present.

Finally, Zellic provides a list of miscellaneous observations that do not have security impact or are not directly related to the scoped files itself. These observations — found in the Discussion (3. 7) section of the document — may include suggestions for improving the codebase, or general recommendations, but do not necessarily convey that we suggest a code change.

2.3. Scope

The engagement involved a review of the following targets:

Everdawn Stellar App Files

Type	Rust
Platform	Stellar-Soroban
Target	Only the differences between the standard OFT and sac-manager in stellar/contracts/oapps/sac-manager/src/* and stellar/contracts/oapps/oft/src/* at commit 29fbd18 and the scope below.
Repository	https://github.com/Everdawn-Labs/usdt0-oft-contracts ↗
Version	ef908d11db6a0552b3c21bcdea44bdd7a43d580a
Programs	sac-manager/src/**/*.rs oft/src/**/*.rs

2.4. Project Overview

Zellic was contracted to perform a security assessment for a total of 0.2 person-weeks. The assessment was conducted by two consultants over the course of one calendar day.

Contact Information

The following project manager was associated with the engagement:

Jacob Goreski
✈ Engagement Manager
jacob@zellic.io ↗

The following consultants were engaged to conduct the assessment:

Sihoon Lee
✈ Engineer
sihoon@zellic.io ↗

Ayaz Mammadov
✈ Engineer
ayaz@zellic.io ↗

2.5. Project Timeline

The key dates of the engagement are detailed below.

March 25, 2026 Start of primary review period

March 25, 2026 End of primary review period

April 13, 2026 Start of secondary review period

April 13, 2026 End of secondary review period

3. Discussion

The purpose of this section is to document miscellaneous observations that we made during the assessment. These discussion notes are not necessarily security related and do not convey that we are suggesting a code change.

3.1. Secondary review period changes

During the secondary review period on April 13th, we reviewed the changes in scope for [PR#213](#) ⁷ up to commit 342ce81.

The main change introduced in this PR was that the quoting logic in the OFT now accounts for fees.

No new findings were discovered during the secondary review period.

4. Assessment Results

During our assessment on the scoped Everdawn Stellar App files, there were no security vulnerabilities discovered. The upgradeability logic added to the sac-manager and OFT in Everdawn does not introduce any deviations from the default sac-manager and the default OFT.

4.1. Disclaimer

This assessment does not provide any warranties about finding all possible issues within its scope; in other words, the evaluation results do not guarantee the absence of any subsequent issues. Zellic, of course, also cannot make guarantees about any code added to the project after the version reviewed during our assessment. Furthermore, because a single assessment can never be considered comprehensive, we always recommend multiple independent assessments paired with a bug bounty program.

For each finding, Zellic provides a recommended solution. All code samples in these recommendations are intended to convey how an issue may be resolved (i.e., the idea), but they may not be tested or functional code. These recommendations are not exhaustive, and we encourage our partners to consider them as a starting point for further discussion. We are happy to provide additional guidance and advice as needed.

Finally, the contents of this assessment report are for informational purposes only; do not construe any information in this report as legal, tax, investment, or financial advice. Nothing contained in this report constitutes a solicitation or endorsement of a project by Zellic.